

Timekeeping and Tax Municipalities

Frequently Asked Questions & Answers

TIMEKEEPING SYSTEM QUESTIONS

1. Where can I find job aids to assist with designating a work location in the timekeeping system?
[Job Aids](#) are available in the myOhio Help Directory, [myTax Job Aids](#):
 - From the myOhio homepage, click the **four-square icon**  at the top right corner of the page
 - Under the **Help** category, click **Help Directory**
 - Locate the desired Job Aid and click the **Job Aid title**
 - To open the Job Aid, click the **Download** button in the top right corner of the page
2. Can I designate a work location if I enter time directly into OAKS?
[Yes, this functionality is available in certain versions of Kronos and OAKS.](#)
3. Will my tax information be backdated since Kronos functionality was not available January 1 through February 13?
[No, tax information is processed \(paid out\) each pay period. If you believe incorrect taxes were withheld, contact a tax specialist for advice on the correct steps to take to request a refund.](#)
4. How do I record my time if I live in a non-taxing locality?
[Non-taxing localities are identified in Kronos and OAKS as five zeroes - "00000."](#)
5. Do I need to designate a tax locality when entering leave?
[No, when an employee uses leave it will automatically withhold from their default work location. Employees are responsible for ensuring the default work location for municipal income tax liability reflects the employee's primary work location. Employees should work with their agency HR/Payroll office to make changes to their default work location, if applicable.](#)
6. How are holidays paid out?
[Holidays automatically withhold from your default work location. Employees are responsible for ensuring the default work location for municipal income tax liability reflects the employee's primary work location. Employees should work with their agency HR/Payroll office to make changes to their default work location, if applicable.](#)
7. Do I need to enter separate tax locations for the same working day?
[No, an employee should only record one work location per day on his/her timesheet. To determine to appropriate work location to record on your timesheet, please use the "Where did I Work?" flowchart. The flowchart is being finalized and will be added to these FAQs when it is available.](#)

IMPORTANT NOTE: For employees who work from multiple locations on a single day, there is a distinction between the work location that you record on your timesheet and the work location that the employee will need to manually count/track for purposes of the 20-day rule. For example—in a circumstance where an employee hasn’t worked 20 days from his/her alternate work location—if the employee works most of the day from an alternate work location and a small part of the day from the primary work location, the employee would still record the primary work location on the timesheet, but manually count (i.e., outside of the timesheet) the day towards the 20-day threshold of the 20-day rule. The “Policy Questions” section below contains additional discussion on this point.

POLICY QUESTIONS

8. Where can I find the updated Policy?
[Municipal Income Tax Withholding Policy \(HR-25\)](#)

9. Am I required to designate a work location when entering hours worked each day in a timekeeping system?
 Employees who are subject to a municipal income tax because of their work location are required to authorize their appointing authority to withhold the full municipal income tax percentage applicable to that particular work location. Many employees are now able to designate their work location on a daily basis in the timekeeping system from a drop-down menu. Municipal income taxes will be withheld from the employee’s default work location for any hours that an employee does not designate the work location in the timekeeping system. Employees working at a single work location (e.g., a correction officer working at only one institution) will generally have no need to designate their work location.

10. What is the “20-day rule?”
 The 20-day rule is provided for in statute and generally indicates that once an employee has reached the 21st day of work, during the calendar year, at a location other than their primary work location (i.e., an alternate work location), an employee will start owing municipal income tax to that alternate location. An employee who has at least one alternate work location will need to manually track (i.e., outside of the timesheet) days that he/she works (as explained below in Question 13) from each alternate work location. However, once an employee has worked 20 days (during the calendar year) from an alternate work location, the employee will no longer need to manually track subsequent workdays from this alternate work location for the remainder of the calendar year. Rather, the employee will switch over to using his/her timesheet to record any subsequent days (i.e., day 21 and after) worked from this alternate work location for the remainder of the calendar year. It is important to remember crediting days to an alternate work location for purposes of the 20-day rule is different from the determination of which work location to record on your timesheet as explained above in Question 7 and the “Where did I Work?” flowchart. For the primary work location, taxes are withheld starting on day 1. Which location is considered your primary location will be based on the information contained on your [Municipal Tax Withholding Form](#).

11. Does the 20-day rule apply separately to each location? For example, I travel to Dublin for 22 days, and Marion for 25 days, and Toledo for 33 days. Do I have to count all three locations for the 20-day rule separately? Or once I hit the 20-day rule for the first location, does it then apply for all locations for the rest of the year?

Each location is treated separately for the 20-day rule; if you work 22 days in Dublin and 25 in Marion, you would be responsible for 2 days of Dublin (days 21-22) and 5 days for Marion (days 21-25).

12. What is the difference between a Method 1 and Method 2 agency?

Method 1 agency: agencies that have the functionality to record the location of work through an Automated Timekeeping System (such as Kronos and OAKS).

Method 2 agency: Agencies that do not have the functionality to record the location of work through an Automated Timekeeping System.

13. What is considered a “day” for purposes of the 20-day rule?

When working from multiple locations on a single day, it can be difficult to determine which work location should be credited with the “day” for purposes of counting under the 20-day rule. In general, an employee should credit (i.e., manually count the day towards the 20-day threshold for an alternate work location) the workday to the alternate work location if the employee spent the most amount of time working from the alternate work location on that particular day. When determining which location the employee spent the most time working, it is important to remember that time spent traveling is considered to be performed at the employee’s primary work location.

AGENCY HR/PAYROLL QUESTIONS

14. Are agencies required to “certify” on 2021 tax returns when an employee files for a tax refund from municipalities?

Agencies are not required to do so. That decision should be made internally within an agency. It will likely be a case-by-case determination. In general, there are three options. First, agencies may choose to certify information contained on the employee’s refund request where the agency is reasonably certain the information on the form is accurate and the agency doesn’t have concerns with the conditions of the certification, or any other language contained on the return/refund request form. Because different locality refund forms contain different certification language, we suggest that agencies review each request, including supporting documentation, to ensure its accuracy and seek review with the immediate supervisor if necessary. We also suggest that agency legal counsel is consulted if there are concerns about the certification language. Second, agencies may choose to provide a signed letter to the employee on agency letterhead certifying any information that you believe to be accurate and appropriate (e.g., the number of days that you can verify the employee worked from an office location). Please note, each taxing municipality is different so we do not know which, if any, will accept a letter in lieu of their form. Third, the agency can decline to certify an employee’s request and decline to provide a letter.

15. How do employees request to change their default work location for municipal income tax withholding?

Employees can submit a [Municipal Income Tax Withholding Form](#) to their agency Payroll/HR department. This form was recently modified so that employees can designate the primary work location as their residence, if applicable.

16. On the new municipal income tax withholding form, is the "employment address" the same as the home address if the employee is working from home the majority of the time?

If the employee works in the office at all, the employee should indicate the agency address. If the employee never works from the office, that section can be left blank. Any employee who works the majority of time from home should check the box indicating home address is the primary work location.

17. What should employees do if they think incorrect taxes were withheld?

Contact a tax specialist for advice on the correct steps to take to request a refund.

18. What happens if an employee accidentally enters the incorrect tax locality?

Once payroll closes, there isn't the ability to fix it. Employees are responsible for ensuring they are accurately reflecting tax locality.

19. If an employee lives in a municipality with reciprocity, does he/she need to utilize the transfer functionality?

Yes.

20. For employees working hybrid schedules and who have the same tax locality for their residence and for their office, do they need to utilize the transfer functionality?

If the tax locality is the same for all locations worked, the employee does not need to use the transfer functionality.